

Economic development

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Economic development :- A wider term than economic growth that takes into account the expansion of social and economic choices and the increase in self-esteem.

Differences in economic development between countries

Differences in income :- Greater level of equality encourage economic development, educational opportunities for children from relatively poor households, social mobility and foster the development of skills.

Productivity :- Countries that have high levels of economic development also have relatively high levels of productivity. This encourages economic growth. Countries with a high output per factor of production per hour tend to have a high income per head and a better standard of education and healthcare.

Population growth :- A larger population will be able to make more effective use of its economic resources. There will be an increase in the number of potential workers and more potential consumers. This extra demand for goods and services could lead to an increase in investment.

Size of primary/secondary/tertiary sectors :- The relative size of three sectors in an economy

will give an indication of the state of development

Saving and Investment :- The level of savings in an economy is crucial to economic development because this money can be used to finance investment.

Education :- Education is key to economic development. Some countries have a much better education system than others, especially at secondary and higher levels, and this enables the population to have appropriate qualifications to gain employment in skilled work.

Health care :- A relatively high standard of health care will increase the average life expectancy in a country and will help to make workers more productive as they will be less likely to be absent from work for health reasons.

Questions

Q1 Define economic development? 2

Q2 Explain the differences in economic development between countries? 8